

1 ENGROSSED HOUSE AMENDMENT
TO
2 ENGROSSED SENATE BILL NO. 1242 By: Hamilton of the Senate
3 and
4 George of the House
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7 An Act relating to medical marijuana licensees;
8 amending Section 2, Chapter 41, O.S.L. 2023 (63 O.S.
9 Supp. 2025, Section 427.26), which relates to bond
10 required for land used in commercial growing
operations; increasing certain bond requirement;
updating statutory references; and providing an
effective date.

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15 AUTHOR: Remove Representative George as principal House author and
16 substitute with Representative Marti

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17 AMENDMENT NO. 1. Strike the title, enacting clause, and entire bill
and insert:

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20 "An Act relating to medical marijuana; amending 63
21 O.S. 2021, Section 427.14, as last amended by Section
2, Chapter 494, O.S.L. 2025 and Section 3, Chapter
22 328, O.S.L. 2022, as last amended by Section 1,
Chapter 389, O.S.L. 2025 (63 O.S. Supp. 2025,
23 Sections 427.14 and 427.14b), which relate to the
Oklahoma Medical Marijuana and Patient Protection
24 Act; deleting requirement for posting certain bond;
requiring certain licensees to submit a land

1 reclamation fee; providing fee amount; providing an
2 exemption; requiring the examination of certain land
3 ownership documents; defining term; directing the
4 Oklahoma Medical Marijuana Authority to provide
5 certain notice to law enforcement agencies; directing
6 applicant to submit certain documentation; deleting
7 third-party vendor requirement to provide certain
8 documents; deleting list of educational training
9 subjects; removing ability to appeal adverse
10 determinations by the Oklahoma Medical Marijuana
11 Authority; deleting civil liability exemption;
12 directing third-party vendors to provide educational
13 training course plan with specific topics;
14 establishing nonrefundable application and renewal
15 fees; directing third-party vendors to update courses
16 and provide notification of update to the Authority;
17 allowing for in-classroom or virtual courses;
18 requiring minimum post-exam score; allowing the
19 Authority to approve certain third-party vendor;
20 creating the Oklahoma Medical Marijuana Land
21 Reclamation Revolving Fund; stating purpose of fund;
22 making appropriations to the fund; providing for
23 expenditures; repealing Section 2, Chapter 41, O.S.L.
24 2023 (63 O.S. Supp. 2025, Section 427.26), which
relates to bond requirement for medical marijuana
commercial growers; providing for codification; and
providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 63 O.S. 2021, Section 427.14, as
last amended by Section 2, Chapter 494, O.S.L. 2025 (63 O.S. Supp.
2025, Section 427.14), is amended to read as follows:

Section 427.14. A. There is hereby created the medical
marijuana business license, which shall include the following
categories:

1 1. Medical marijuana commercial grower;

2 2. Medical marijuana processor;

3 3. Medical marijuana dispensary;

4 4. Medical marijuana transporter; and

5 5. Medical marijuana testing laboratory.

6 B. The Oklahoma Medical Marijuana Authority, with the aid of
7 the Office of Management and Enterprise Services, shall develop a
8 website for medical marijuana business applications.

9 C. The Authority shall make available on its website, in an
10 easy-to-find location, applications for a medical marijuana
11 business.

12 D. 1. The annual, nonrefundable fee for a medical marijuana
13 transporter license shall be Two Thousand Five Hundred Dollars
14 (\$2,500.00).

15 2. The initial, nonrefundable fee for a medical marijuana
16 commercial grower license shall be calculated based upon the total
17 amount of square feet of canopy or acres the grower estimates will
18 be harvested, transferred, or sold for the year. The annual,
19 nonrefundable license fee shall be based upon the total amount of
20 square feet of canopy or acres harvested, transferred, or sold by
21 the grower during the previous twelve (12) months. The amount of
22 the fees shall be determined as follows:

23 a. For an indoor, greenhouse, or light deprivation
24 medical marijuana grow facility:

- (1) Tier 1: Up to ten thousand (10,000) square feet of canopy, the fee shall be Two Thousand Five Hundred Dollars (\$2,500.00),
- (2) Tier 2: Ten thousand one (10,001) square feet of canopy to twenty thousand (20,000) square feet of canopy, the fee shall be Five Thousand Dollars (\$5,000.00),
- (3) Tier 3: Twenty thousand one (20,001) square feet of canopy to forty thousand (40,000) square feet of canopy, the fee shall be Ten Thousand Dollars (\$10,000.00),
- (4) Tier 4: Forty thousand one (40,001) square feet of canopy to sixty thousand (60,000) square feet of canopy, the fee shall be Twenty Thousand Dollars (\$20,000.00),
- (5) Tier 5: Sixty thousand one (60,001) square feet of canopy to eighty thousand (80,000) square feet of canopy, the fee shall be Thirty Thousand Dollars (\$30,000.00),
- (6) Tier 6: Eighty thousand one (80,001) square feet of canopy to ninety-nine thousand nine hundred ninety-nine (99,999) square feet of canopy, the fee shall be Forty Thousand Dollars (\$40,000.00), and

1 (7) Tier 7: One hundred thousand (100,000) square
2 feet of canopy and beyond, the fee shall be Fifty
3 Thousand Dollars (\$50,000.00), plus an additional
4 twenty-five cents (\$0.25) per square foot of
5 canopy over one hundred thousand (100,000) square
6 feet.

7 b. For an outdoor medical marijuana grow facility:

8 (1) Tier 1: Less than two and one-half (2 1/2)
9 acres, the fee shall be Two Thousand Five Hundred
10 Dollars (\$2,500.00),

11 (2) Tier 2: More than two and one-half (2 1/2) acres
12 up to five (5) acres, the fee shall be Five
13 Thousand Dollars (\$5,000.00),

14 (3) Tier 3: More than five (5) acres up to ten (10)
15 acres, the fee shall be Ten Thousand Dollars
16 (\$10,000.00),

17 (4) Tier 4: More than ten (10) acres up to twenty
18 (20) acres, the fee shall be Twenty Thousand
19 Dollars (\$20,000.00),

20 (5) Tier 5: More than twenty (20) acres up to thirty
21 (30) acres, the fee shall be Thirty Thousand
22 Dollars (\$30,000.00),
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1 (6) Tier 6: More than thirty (30) acres up to forty
2 (40) acres, the fee shall be Forty Thousand
3 Dollars (\$40,000.00),
4 (7) Tier 7: More than forty (40) acres up to fifty
5 (50) acres, the fee shall be Fifty Thousand
6 Dollars (\$50,000.00), and
7 (8) Tier 8: If the amount of acreage exceeds fifty
8 (50) acres, the fee shall be Fifty Thousand
9 Dollars (\$50,000.00) plus an additional Two
10 Hundred Fifty Dollars (\$250.00) per acre.

11 c. For a medical marijuana commercial grower that has a
12 combination of both indoor and outdoor growing
13 facilities at one location, the medical marijuana
14 commercial grower shall be required to obtain a
15 separate license from the Authority for each type of
16 grow operation and shall be subject to the licensing
17 fees provided for in subparagraphs a and b of this
18 paragraph.

19 d. As used in this paragraph:

20 (1) "canopy" means the total surface area within a
21 cultivation area that is dedicated to the
22 cultivation of flowering marijuana plants. The
23 surface area of the plant canopy must be
24 calculated in square feet and measured and must

1 include all of the area within the boundaries
2 where the cultivation of the flowering marijuana
3 plants occurs. If the surface of the plant
4 canopy consists of noncontiguous areas, each
5 component area must be separated by identifiable
6 boundaries. If a tiered or shelving system is
7 used in the cultivation area, the surface area of
8 each tier or shelf must be included in
9 calculating the area of the plant canopy.
10 Calculation of the area of the plant canopy may
11 not include the areas within the cultivation area
12 that are used to cultivate immature marijuana
13 plants and seedlings, prior to flowering, and
14 that are not used at any time to cultivate mature
15 marijuana plants. If the flowering plants are
16 vertically grown in cylinders, the square footage
17 of the canopy shall be measured by the
18 circumference of the cylinder multiplied by the
19 total length of the cylinder,

- 20 (2) "greenhouse" means a structure located outdoors
21 that is completely covered by a material that
22 allows a controlled level of light transmission,
23 and
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1 (3) "light deprivation" means a structure that has
2 concrete floors and the ability to manipulate
3 natural light.

4 3. The initial, nonrefundable fee for a medical marijuana
5 processor license shall be Two Thousand Five Hundred Dollars
6 (\$2,500.00). The annual, nonrefundable license fee for a medical
7 marijuana processor license shall be determined based on the
8 previous twelve (12) months as follows:

- 9 a. Tier 1: The transfer or sale of zero (0) to ten
10 thousand (10,000) pounds of biomass or the production,
11 transfer, or sale of up to one hundred (100) liters of
12 cannabis concentrate, whichever is greater, the annual
13 fee shall be Two Thousand Five Hundred Dollars
14 (\$2,500.00),
- 15 b. Tier 2: The transfer or sale of ten thousand one
16 (10,001) pounds to fifty thousand (50,000) pounds of
17 biomass or the production, transfer, or sale of one
18 hundred one (101) to three hundred fifty (350) liters
19 of cannabis concentrate, whichever is greater, the
20 annual fee shall be Five Thousand Dollars (\$5,000.00),
- 21 c. Tier 3: The transfer or sale of fifty thousand one
22 (50,001) pounds to one hundred fifty thousand
23 (150,000) pounds of biomass or the production,
24 transfer, or sale of three hundred fifty-one (351) to

1 six hundred fifty (650) liters of cannabis
2 concentrate, whichever is greater, the annual fee
3 shall be Ten Thousand Dollars (\$10,000.00),

4 d. Tier 4: The transfer or sale of one hundred fifty
5 thousand one (150,001) pounds to three hundred
6 thousand (300,000) pounds of biomass or the
7 production, transfer, or sale of six hundred fifty-one
8 (651) to one thousand (1,000) liters of cannabis
9 concentrate, whichever is greater, the annual fee
10 shall be Fifteen Thousand Dollars (\$15,000.00), and

11 e. Tier 5: The transfer or sale of more than three
12 hundred thousand one (300,001) pounds of biomass or
13 the production, transfer, or sale in excess of one
14 thousand one (1,001) liters of cannabis concentrate,
15 the annual fee shall be Twenty Thousand Dollars
16 (\$20,000.00).

17 For purposes of this paragraph only, if the cannabis concentrate
18 is in nonliquid form, every one thousand (1,000) grams of
19 concentrated marijuana shall be calculated as one (1) liter of
20 cannabis concentrate.

21 4. The initial, nonrefundable fee for a medical marijuana
22 dispensary license shall be Two Thousand Five Hundred Dollars
23 (\$2,500.00). The annual, nonrefundable license fee for a medical
24 marijuana dispensary license shall be calculated at ten percent

(10%) of the sum of twelve (12) calendar months of the combined annual state sales tax and state excise tax of the dispensary during the previous twelve (12) months. The minimum fee shall be not less than Two Thousand Five Hundred Dollars (\$2,500.00) and the maximum fee shall not exceed Ten Thousand Dollars (\$10,000.00).

5. The annual, nonrefundable license fee for a medical marijuana testing laboratory shall be Twenty Thousand Dollars (\$20,000.00).

E. All applicants seeking licensure or licensure renewal as a medical marijuana business shall comply with the following general requirements:

1. All applications for licenses and registrations authorized pursuant to this section shall be made upon forms prescribed by the Authority;

2. Each application shall identify the city or county in which the applicant seeks to obtain licensure as a medical marijuana business;

3. Applicants shall submit a complete application to the Authority before the application may be accepted or considered;

4. All applications shall be complete and accurate in every detail;

5. All applications shall include all attachments or supplemental information required by the forms supplied by the Authority;

1 6. All applications for a transporter license, initial
2 dispensary license, initial processor license, or laboratory license
3 shall be accompanied by a full remittance for the whole amount of
4 the license fee as set forth in subsection D of this section. All
5 submissions of grower applications, renewal processor applications,
6 and renewal dispensary applications shall be accompanied by a
7 remittance of a fee of Two Thousand Five Hundred Dollars
8 (\$2,500.00). The Authority shall invoice license applicants, if
9 applicable, and notify applicants in the same method and manner as
10 the application was submitted to the Authority for any additional
11 licensing fees owed pursuant to subsection D of this section prior
12 to approval of a license application. Applicants and licensees
13 shall remit all required license and application fees, including any
14 additional licensing fees, if applicable, in full within forty-five
15 (45) days of notification by the Authority. Failure to remit such
16 fees shall result in the denial of the application. License fees
17 are nonrefundable;

18 7. All applicants shall be approved for licensing review that,
19 at a minimum, meet the following criteria:

- 20 a. twenty-five (25) years of age or older,
- 21 b. if applying as an individual, proof that the applicant
22 is a resident of this state pursuant to paragraph 12
23 of this subsection,

- c. if applying as an entity, proof that seventy-five percent (75%) of all members, managers, executive officers, partners, board members or any other form of business ownership are residents of this state pursuant to paragraph 12 of this subsection,
- d. if applying as an individual or entity, proof that the individual or entity is registered to conduct business in this state,
- e. disclosure of all ownership interests pursuant to the Oklahoma Medical Marijuana and Patient Protection Act, and
- f. proof that the medical marijuana business, medical marijuana research facility, medical marijuana education facility and medical marijuana waste disposal facility applicant or licensee has not been convicted of a nonviolent felony in the last two (2) years, or any other felony conviction within the last five (5) years, is not a current inmate in the custody of the Department of Corrections, or currently incarcerated in a jail or corrections facility.

Upon reasonable suspicion that a medical marijuana business licensee is illegally growing, processing, transferring, selling, disposing, or diverting marijuana, the Authority, the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, the Oklahoma State Bureau of

Investigation (OSBI), or the Attorney General may subpoena documents necessary to establish the personal identifying information of all owners and individuals with any ownership interest in the business;

8. There shall be no limit to the number of medical marijuana business licenses or categories that an individual or entity can apply for or receive, although each application and each category shall require a separate application, application fee, or license fee. A commercial grower, processor and dispensary, or any combination thereof, are authorized to share the same address or physical location, subject to the restrictions set forth in the Oklahoma Medical Marijuana and Patient Protection Act;

9. No medical marijuana business premises is permitted to have multiple licenses of the same type pursuant to the licensing requirements of this section, excluding the following:

- a. a commercial grower with a combination of an indoor or outdoor growing facility on one parcel of land,
- b. a licensed medical marijuana processor used by multiple licensees, and
- c. a licensed medical marijuana business that has an approved application by the Authority while the new business seeks registration from the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control pursuant to Section 427.14c of this title;

1 10. All applicants for a medical marijuana business license,
2 research facility license or education facility license authorized
3 by the Oklahoma Medical Marijuana and Patient Protection Act, or for
4 a renewal of such license, shall undergo a national fingerprint-
5 based background check conducted by the Oklahoma State Bureau of
6 Investigation within thirty (30) days prior to the application for
7 the license, including:

- 8 a. individual applicants applying on their own behalf,
- 9 b. individuals applying on behalf of an entity,
- 10 c. all principal officers of an entity, and
- 11 d. all owners of an entity as defined by the Oklahoma
12 Medical Marijuana and Patient Protection Act;

13 11. All applicable fees charged by the OSBI are the
14 responsibility of the applicant and shall not be higher than fees
15 charged to any other person or industry for such background checks;

16 12. In order to be considered a resident of this state for
17 purposes of a medical marijuana business application, all applicants
18 shall provide proof of state residency for at least two (2) years
19 immediately preceding the date of application or five (5) years of
20 continuous state residency during the preceding twenty-five (25)
21 years immediately preceding the date of application. Sufficient
22 documentation of proof of residency shall include a combination of
23 the following:

- 24 a. an unexpired state-issued driver license,

- b. a state-issued identification card,
- c. a utility bill preceding the date of application,
excluding cellular telephone and Internet bills,
- d. a residential property deed to property in this state,
and
- e. a rental agreement preceding the date of application
for residential property located in this state.

Applicants that were issued a medical marijuana business license prior to August 30, 2019, are hereby exempt from the two-year or five-year Oklahoma residence requirement mentioned above;

13. All license applicants shall be required to submit a registration with the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control as provided in Sections 2-301 through 2-309 of this title;

14. All applicants shall establish their identity through submission of a color copy or digital image of one of the following unexpired documents:

- a. front of a state-issued driver license,
- b. front of a state-issued identification card,
- c. a United States passport or other photo identification
issued by the United States government, or
- d. a tribal identification card approved for
identification purposes by the Department of Public
Safety;

1 15. All applicants shall submit an applicant photograph; and

2 16. All applicants for a medical marijuana business license
3 seeking to operate a commercial growing operation shall ~~file~~ submit,
4 along with their application, ~~a bond as prescribed in Section 427.26~~
5 ~~of this title~~ land reclamation fee in the amount of Two Thousand
6 Dollars (\$2,000.00). Submission and payment of the land reclamation
7 fee by the applicant shall not be required if, upon verification by
8 the Authority, the applicant, or a first-degree relative of the
9 applicant, has been an owner, beneficiary, or trustee of the land
10 upon which the applicant intends to conduct commercial growing
11 operations for a minimum of five (5) years prior to submission of
12 said application. Land ownership shall be verified by examining
13 documentation submitted by the applicant including, but not limited
14 to, recorded property deeds, property tax records, title insurance,
15 or mortgage statements. As used in this paragraph, "first-degree
16 relative" includes a mother, father, spouse, son, or daughter.

17 F. The Authority shall review the medical marijuana business
18 application; approve, reject, or deny the application; and send the
19 approval, rejection, denial, or status-update letter to the
20 applicant in the same method the application was submitted to the
21 Authority within ninety (90) business days of receipt of the
22 application.

23 G. 1. The Authority shall review the medical marijuana
24 business applications, conduct all investigations, inspections, and

1 interviews, and collect all license and application fees before
2 approving the application.

3 2. Approved applicants shall be issued a medical marijuana
4 business license for the specific category applied under, which
5 shall act as proof of their approved status. Rejection and denial
6 letters shall provide a reason for the rejection or denial.
7 Applications may only be rejected or denied based on the applicant
8 not meeting the standards set forth in the provisions of the
9 Oklahoma Medical Marijuana and Patient Protection Act and Sections
10 420 through 427.28 of this title, improper completion of the
11 application, unpaid license or application fees, or for a reason
12 provided for in the Oklahoma Medical Marijuana and Patient
13 Protection Act and Sections 420 through 427.28 of this title. If an
14 application is rejected for failure to provide required information,
15 the applicant shall have thirty (30) days to submit the required
16 information for reconsideration. Unless the Authority determines
17 otherwise, an application that has been resubmitted but is still
18 incomplete or contains errors that are not clerical or typographical
19 in nature shall be denied.

20 3. Status-update letters shall provide a reason for delay in
21 either approval, rejection or denial should a situation arise in
22 which an application was submitted properly but a delay in
23 processing the application occurred.

1 4. Approval, rejection, denial or status-update letters shall
2 be sent to the applicant in the same method the application was
3 submitted to the Authority.

4 H. A license for a medical marijuana business, medical
5 marijuana research facility, medical marijuana education facility or
6 medical marijuana waste disposal facility shall not be issued to or
7 held by:

8 1. A person until all required fees have been paid;

9 2. A person who has been convicted of a nonviolent felony
10 within two (2) years of the date of application, or within five (5)
11 years for any other felony;

12 3. A corporation, if the criminal history of any of its
13 officers, directors or stockholders indicates that the officer,
14 director or stockholder has been convicted of a nonviolent felony
15 within two (2) years of the date of application, or within five (5)
16 years for any other felony;

17 4. A person under twenty-five (25) years of age;

18 5. A person licensed pursuant to this section who, during a
19 period of licensure, or who, at the time of application, has failed
20 to:

21 a. file taxes, interest or penalties due related to a
22 medical marijuana business, or

23 b. pay taxes, interest or penalties due related to a
24 medical marijuana business;

1 6. A sheriff, deputy sheriff, police officer or prosecuting
2 officer, or an officer or employee of the Authority or municipality;

3 7. A person whose authority to be a caregiver, as defined in
4 Section 427.2 of this title, has been revoked by the Authority; or

5 8. A person who was involved in the management or operations of
6 any medical marijuana business, medical marijuana research facility,
7 medical marijuana education facility or medical marijuana waste
8 disposal facility that, after the initiation of a disciplinary
9 action, has had a medical marijuana license revoked, not renewed, or
10 surrendered during the five (5) years preceding submission of the
11 application and for the following violations:

12 a. unlawful sales or purchases,

13 b. any fraudulent acts, falsification of records or
14 misrepresentation to the Authority, medical marijuana
15 patient licensees, caregiver licensees or medical
16 marijuana business licensees,

17 c. any grossly inaccurate or fraudulent reporting,

18 d. threatening or harming any medical marijuana patient,
19 caregiver, medical practitioner or employee of the
20 Authority,

21 e. knowingly or intentionally refusing to permit the
22 Authority access to premises or records,

23 f. using a prohibited, hazardous substance for processing
24 in a residential area,

1 g. criminal acts relating to the operation of a medical
2 marijuana business, or

3 h. any violations that endanger public health and safety
4 or product safety.

5 I. In investigating the qualifications of an applicant or a
6 licensee, the Authority and municipalities may have access to
7 criminal history record information furnished by a criminal justice
8 agency subject to any restrictions imposed by such an agency.

9 J. The failure of an applicant or licensee to provide the
10 requested information by the Authority deadline may be grounds for
11 denial of the application.

12 K. All applicants and licensees shall submit information to the
13 Authority in a full, faithful, truthful and fair manner. The
14 Authority may recommend denial of an application where the applicant
15 or licensee made misstatements, omissions, misrepresentations or
16 untruths in the application or in connection with the background
17 investigation of the applicant. This type of conduct may be grounds
18 for administrative action against the applicant or licensee. Typos
19 and scrivener errors shall not be grounds for denial.

20 L. A licensed medical marijuana business premises shall be
21 subject to and responsible for compliance with applicable provisions
22 consistent with the zoning where such business is located as
23 described in the most recent versions of the Oklahoma Uniform
24 Building Code, the International Building Code and the International

1 Fire Code, unless granted an exemption by a municipality or
2 appropriate code enforcement entity.

3 M. All medical marijuana business, medical marijuana research
4 facility, medical marijuana education facility and medical marijuana
5 waste disposal facility licensees shall pay the relevant licensure
6 fees prior to receiving licensure to operate. Applicants and
7 licensees shall remit all required license and application fees,
8 including any additional licensing fees, if applicable, in full
9 within forty-five (45) days of notification by the Authority.
10 Failure to remit such fees shall result in the denial of the
11 application.

12 N. A medical marijuana business, medical marijuana research
13 facility, medical marijuana education facility or medical marijuana
14 waste disposal facility that attempts to renew its license after the
15 expiration date of the license shall pay a late renewal fee of Five
16 Hundred Dollars (\$500.00) per week that the license is expired.
17 Late renewal fees are nonrefundable. A license that has been
18 expired for more than sixty (60) calendar days shall not be renewed.
19 Only license renewal applications submitted at least sixty (60)
20 calendar days prior to the expiration date shall be considered
21 timely submitted and subject to the provisions of subsection F of
22 this section. A medical marijuana business license shall remain
23 unexpired during the pendency of the application for renewal
24 provided that such application was timely submitted. The Authority

1 shall allow renewal applications to be submitted at least one
2 hundred twenty (120) calendar days prior to the expiration date of a
3 medical marijuana business license.

4 O. 1. Except as provided by this section, immediately upon
5 expiration of a license, any medical marijuana business, medical
6 marijuana research facility, medical marijuana education facility,
7 or medical marijuana waste disposal facility shall cease all
8 possession, transfer, or sale of medical marijuana or medical
9 marijuana products. Any continued possession, sale, or transfer
10 shall subject the business owners and operators to felony
11 prosecution pursuant to the Uniform Controlled Dangerous Substances
12 Act.

13 2. Upon the expiration or revocation of a medical marijuana
14 business license or a determination that the business license is no
15 longer in good standing, the Authority shall provide notice to all
16 law enforcement agencies in the jurisdiction of the medical
17 marijuana business that the business license has expired, been
18 revoked, or is no longer in good standing.

19 P. A medical marijuana business license holder shall require
20 all individuals employed under his or her license to be issued a
21 credential pursuant to the provisions of Section 427.14b of this
22 title prior to employment.

23 Q. An original medical marijuana business license issued on or
24 after June 26, 2018, by the Authority, for a medical marijuana

1 commercial grower, a medical marijuana processor or a medical
2 marijuana dispensary shall be deemed to have been grandfathered into
3 the location on the date the original license was first issued for
4 purposes of determining the authority of the business to conduct and
5 continue the same type of business at that location under a license
6 issued by the Authority, except as may be provided in Sections 425
7 and 426.1 of this title. Any change in ownership after the original
8 medical marijuana business license has been issued by the Authority
9 shall be construed by the Authority to be a continuation of the same
10 type of business originally licensed at that location. Nothing
11 shall authorize the Authority to deny issuance or renewal of a
12 license or transfer of license due to a change in ownership for the
13 same business location previously licensed, except when a revocation
14 is otherwise authorized by law or a protest is made under the
15 municipal compliance provisions of Section 426.1 of this title.

16 R. A medical marijuana business license holder shall require
17 all individuals employed under their license to be issued a
18 credential pursuant to the provisions of Section 427.14b of this
19 title prior to employment.

20 S. The Executive Director of the Authority may promulgate rules
21 to implement the provisions of this section including, but not
22 limited to, required application materials to be submitted by the
23 applicant and utilized by the Authority to determine medical
24 marijuana business licensing fees pursuant to this section.

1 SECTION 2. AMENDATORY Section 3, Chapter 328, O.S.L.
2 2022, as last amended by Section 1, Chapter 389, O.S.L. 2025 (63
3 O.S. Supp. 2025, Section 427.14b), is amended to read as follows:

4 Section 427.14b. A. Beginning January 1, 2024, the Oklahoma
5 Medical Marijuana Authority shall require employees of a medical
6 marijuana business licensee to apply for and receive a credential
7 authorizing the employee to work in a licensed medical marijuana
8 business.

9 B. The Authority may contract with one or more third-party
10 vendors to provide the credentialing services necessary to carry out
11 the provisions of this section.

12 C. The Authority shall determine the services to be provided by
13 such third-party vendor and shall establish costs and prices. If
14 contracted for credentialing services, a third-party vendor shall on
15 behalf of the Authority conduct the background checks and verify
16 eligibility for any employees of a medical marijuana business
17 license holder to obtain a credential.

18 D. Upon successful completion of the national fingerprint-based
19 background check conducted by the Oklahoma State Bureau of
20 Investigation within thirty (30) days prior to the application,
21 completion of the educational training required pursuant to the
22 provisions of this section, and verification of eligibility for an
23 employee, the Authority shall issue a credential to the employee.
24 The applicant shall submit proof of completion of the required

1 educational training and results of the background check and
2 verification in the credential application, ~~and the results of~~
3 ~~background checks and verifications shall be provided to the~~
4 ~~Authority by the third-party vendor.~~

5 E. Beginning January 1, 2027, in order to receive an employee
6 credential, all employees of a licensed medical marijuana business
7 shall annually complete an educational training course provided by
8 or approved by the Authority. The employee shall submit proof of
9 completion of the required educational training in order to receive
10 an employee credential. ~~Such training may include an overview of~~
11 ~~state statutes and administrative rules, patient privacy~~
12 ~~requirements, and the safe handling and storage of medical~~
13 ~~marijuana.~~

14 F. ~~If the third-party vendor determines that an employee of a~~
15 ~~medical marijuana business holder does not meet the minimum~~
16 ~~statutory requirements for a credential, the applicant or employee~~
17 ~~shall have no recourse against the third-party vendor but may appeal~~
18 ~~such adverse determination to the Authority.~~

19 G. ~~The~~ To be approved by the Authority, the third-party vendor
20 ~~shall not be civilly liable to an applicant, licensee, or employee~~
21 ~~of a licensee for any acts taken in good-faith compliance with the~~
22 ~~provisions of Section 420 et seq. of this title and the Oklahoma~~
23 ~~Medical Marijuana and Patient Protection Act and the rules~~
24 ~~promulgated by the Oklahoma Medical Marijuana Authority.~~ provide an

1 educational training course plan that includes, but is not limited
2 to, an overview of the following topics:

- 3 1. State statutes and administrative rules;
- 4 2. Patient privacy requirements;
- 5 3. Safe, sanitary handling and storage of medical marijuana;
- 6 4. Guidance and training on how to appropriately advise
7 patients on the use of medical marijuana products; and
- 8 5. Detecting, preventing, and reporting the diversion of
9 medical marijuana to minors, unlicensed medical marijuana patients
10 or unlicensed medical marijuana caregivers, or other unauthorized
11 persons.

12 G. A nonrefundable application fee of Five Hundred Dollars
13 (\$500.00) shall be submitted with the educational training
14 application of the third-party vendor and a nonrefundable
15 application fee of Two Hundred Fifty Dollars (\$250.00) shall be
16 required every twenty-four (24) months for renewal of said
17 application. A third-party vendor shall update the course with any
18 applicable changes to the Oklahoma Statutes or administrative rules
19 not later than ten (10) days after the effective date of the change.
20 The third-party vendor shall notify the Authority of a change to an
21 approved course not later than three (3) days after the change. The
22 educational training course may be taught in a classroom or virtual
23 setting and an employee of a licensed medical marijuana business
24 shall be required to score a seventy percent (70%) or higher on a

1 post-course exam demonstrating an understanding of the course
2 materials.

3 H. 1. The Authority shall review the medical marijuana
4 credential application; approve, reject, or deny the application;
5 and send the approval, rejection, or denial letter to the applicant
6 by the same method in which the application was submitted to the
7 Authority.

8 2. Each approved applicant shall be issued a credential, which
9 shall act as proof of his or her approved status, to be worn or
10 displayed during the hours of work of the employee. Rejection and
11 denial letters shall provide a reason for the rejection or denial.
12 Applications may only be rejected or denied for failure to meet the
13 standards set forth in the provisions of the Oklahoma Medical
14 Marijuana and Patient Protection Act or rules promulgated by the
15 Executive Director of the Authority. If an application is rejected
16 for failure to provide required information, the applicant shall
17 have thirty (30) days to submit the required information for
18 reconsideration. Unless the Authority determines otherwise, an
19 application that has been resubmitted but is still incomplete or
20 contains errors that are not clerical or typographical in nature
21 shall be denied.

22 I. The Authority may approve any third-party vendor meeting the
23 requirements of subsection F of this section to provide the
24 educational training course necessary to carry out the provisions of

1 subsection E of this section. The Authority shall have sixty (60)
2 days to approve or deny an application of a vendor to provide the
3 educational training course.

4 J. The Executive Director of the Authority may promulgate rules
5 to implement the provisions of this section.

6 SECTION 3. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 427.5b of Title 63, unless there
8 is created a duplication in numbering, reads as follows:

9 There is hereby created in the State Treasury a revolving fund
10 for the Oklahoma Medical Marijuana Authority to be designated the
11 "Oklahoma Medical Marijuana Land Reclamation Revolving Fund". The
12 fund shall be a continuing fund, not subject to fiscal year
13 limitations, and shall consist of all monies received by the
14 Authority from land reclamation fees collected pursuant to the
15 Oklahoma Medical Marijuana and Patient Protection Act. All monies
16 accruing to the credit of the fund are hereby appropriated and may
17 be budgeted and expended by the Oklahoma Medical Marijuana Authority
18 for the purposes provided for in this section. Expenditures from
19 the fund shall be made upon warrants issued by the State Treasurer
20 against claims filed as prescribed by law with the Director of the
21 Office of Management and Enterprise Services for approval and
22 payment. Up to Five Million Dollars (\$5,000,000.00) of the funds
23 received by and credited to the fund may be used and expended by the
24 Oklahoma Medical Marijuana Authority for environmental remediation

and redevelopment projects. Any remaining funds shall be deposited in the General Revenue Fund of the State Treasury.

SECTION 4. REPEALER Section 2, Chapter 41, O.S.L. 2023
(63 O.S. Supp. 2025, Section 427.26), is hereby repealed.

SECTION 5. This act shall become effective November 1, 2026."

Passed the House of Representatives the 6th day of May, 2026.

Presiding Officer of the House of
Representatives

Passed the Senate the ____ day of _____, 2026.

Presiding Officer of the Senate

1 ENGROSSED SENATE
2 BILL NO. 1242

By: Hamilton of the Senate

3 and

4 George of the House

5
6 An Act relating to medical marijuana licensees;
7 amending Section 2, Chapter 41, O.S.L. 2023 (63 O.S.
8 Supp. 2025, Section 427.26), which relates to bond
9 required for land used in commercial growing
operations; increasing certain bond requirement;
updating statutory references; and providing an
effective date.

10
11
12 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

13 SECTION 6. AMENDATORY Section 2, Chapter 41, O.S.L. 2023
14 (63 O.S. Supp. 2025, Section 427.26), is amended to read as follows:

15 Section 427.26. A. It shall be unlawful for any holder of a
16 medical marijuana business license pursuant to Section 427.14 of
17 ~~Title 63 of the Oklahoma Statutes~~ this title to engage in any
18 commercial growing operations in this state without acquiring a
19 bond. The bond shall cover that area of land within the permit area
20 upon which the business licensee will initiate and conduct
21 commercial growing operations.

22 B. Every applicant for a commercial grower license or
23 commercial grower licensee shall file with the Oklahoma Medical
24 Marijuana Authority a bond satisfactory to the Authority and in the

1 amount no less than ~~Fifty Thousand Dollars (\$50,000.00)~~ One Hundred
2 Thousand Dollars (\$100,000.00) for each license sought or held, with
3 a surety company qualified to do business in this state as a surety.
4 The bond shall be furnished to the state for the use of the state
5 pursuant to the provisions of this ~~act~~ section and Section 427.14 of
6 this title. The bond shall be conditional that the obligor will
7 comply with the provisions of this ~~act~~ section and Section 427.14 of
8 this title including, but not limited to, building codes,
9 administrative rules, and other relevant laws, and all rules and
10 regulations made pursuant to this ~~act~~ section and Section 427.14 of
11 this title and will pay all amounts of money that may be due to the
12 state during the time such bond is in effect.

13 C. The Authority or the Department of Environmental Quality may
14 require a higher amount depending upon the reclamation requirements
15 of the approved application. The amount shall reflect the probable
16 difficulty of reclamation with consideration for such factors
17 including, but not limited to, topography, hydrology, and
18 revegetation potential. The amount of the bond for a commercial
19 growing operation shall be sufficient to assure the completion of
20 the reclamation plan if the work has to be performed by the
21 Authority or the Department of Environmental Quality in the event of
22 revocation of license.

23 D. An appropriate agency may recall the bond if the property
24 has been abandoned, the Authority revokes the commercial growing

1 operation's license, or in response to receiving notice of a
2 violation of any law, regulation, policy, or ordinance necessitating
3 remedial action. The bond shall be used to defray the cost of
4 restoration of the property including, but not limited to, removing
5 equipment, destruction of waste, remediation of environmental
6 hazards, prohibiting public access, addressing improperly coded
7 buildings, or determination of the final disposition of any seized
8 property.

9 E. A holder of a medical marijuana business license pursuant to
10 Section 427.14 of ~~Title 63 of the Oklahoma Statutes~~ this title
11 engaging in a commercial growing operation may operate without
12 obtaining a bond upon verification by the Authority that the
13 permitted land on which the licensee operates the commercial growing
14 operation has been owned by the licensee for at least a five-year
15 period prior to submission of application.

16 SECTION 7. This act shall become effective November 1, 2026.
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1 Passed the Senate the 25th day of March, 2026.

2
3 _____
4 Presiding Officer of the Senate

5 Passed the House of Representatives the ____ day of _____,
6 2026.

7
8 _____
9 Presiding Officer of the House
10 of Representatives